

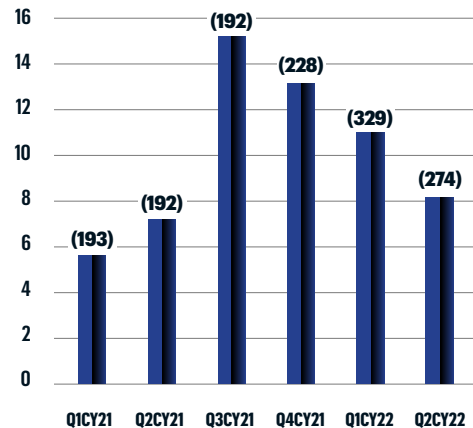
to kings. They had the luxury to choose from several investors and the expectations in terms of the rights they get, the valuation, the pace at which the transaction would be executed, and the level of commitment that the investor would need to demonstrate were founder-led. As the frenzy has cooled, the balance of power has moved to the investor. "When capital is scarce, the power dynamics would change. If you are losing money and you desperately need capital, the power dynamics will be very much in favour of the venture funds. They will put in structured clauses; there might be all kinds of acrobatics in the term sheets," says Sameer Brij Verma, Managing Director of Nexus Venture Partners.

In the new scenario, investors are calling the shots and they sport a distinct view of the capital markets where deal negotiation dynamics and transaction structures of the past are changing. There is a more natural pace of deal-making, lower valuations, and liquidity preferences that determine the order and amount an investor gets paid in the event of an exit. "The negotiation position is always driven by the transaction dynamics. In 2021, transactions were oversubscribed in many cases, so the founders used to push harder for favourable positions. In 2022, deals are not as competitive, there is more balance. You will not see rounds being closed in a couple of days. Rather, you will see investors doing more work to ensure they are completely comfortable with what a potential investee company is doing and who their founders are," says Manav Nagaraj, Partner, General Corporate at Shardul Amarchand Mangaldas & Co.

Investors and analysts also say the slowdown would lead to an increase in specific clauses such as redemption rights, which provide investors the right to force a company to repurchase its own shares after a specified period of time; clawback provisions, which allow investors to take back vested equity if founders quit or are fired; ratchets, an anti-dilution mechanism to protect early-stage investors from dilution by subsequent fund-raising at lower entry prices; and tranching fund-raising rounds where VCs split investments into parts, allowing them to disburse funds over time instead of all at once to reduce risk. "For VCs, this situation is better because I don't have to negotiate so hard, [and] the starting points are automatically more sensible. People who see the light of the day can actually talk very openly about what will and will not be acceptable, and where we can actually close the transaction," says Sandeep Patil, Partner and Head of Asia at QED Investors. Such a measured approach has had its impact. Deal valuations are decreasing, founder dilution is increasing, contract structures are changing, more things are coming into

FUNDING SQUEEZE

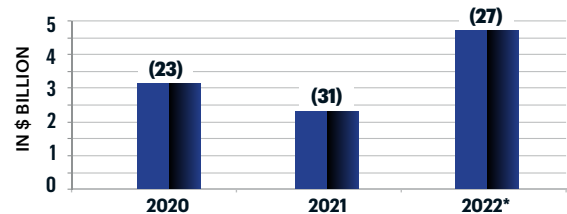
Overall funding value has slowed down



FIGURES ARE TOTAL FUNDING IN \$ BILLION
FIGURES IN BRACKETS INDICATE NUMBER OF DEALS
SOURCE: PGA LABS

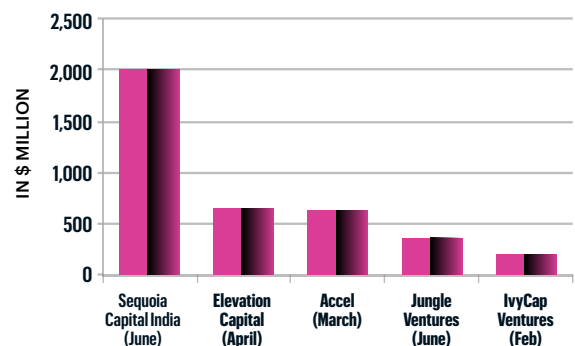
A RECORD PILE OF DRY

AMOUNT RAISED BY VC FIRMS



*DATA AS OF JUNE 30, 2022; FIGURES IN BRACKETS INDICATE THE NUMBER OF VC FIRMS THAT RAISED FUNDS

TOP VC FIRMS BY AMOUNT RAISED IN H12022



FUND CLOSING MONTH IN BRACKETS

NOTE SEQUOIA CAPITAL HAS RAISED \$2.85 BILLION TO DEPLOY ACROSS START-UPS IN INDIA (\$2 BILLION) AND SOUTHEAST ASIA; JUNGLE VENTURES IV RAISED \$225 MILLION IN SEPTEMBER 2021 AT ITS FIRST CLOSE. IN JUNE 2022, IT RAISED \$375 MILLION AT ITS FINAL CLOSE

GRAPHICS BY RAHUL SHARMA